

Inflation rises adding pressure for hikes

- Eurozone inflation rose to 3.2% y/y in May, up 0.2ppts from April, in line with our expectations for the month following the national level prints released last week. While small, this acceleration will remain uncomfortable for the ECB and in our view confirms that the central bank will hike rates in June.
- Energy inflation remained elevated at 10.9% y/y and began feeding into core inflation which accelerated 0.3ppts to 2.5% y/y, led by services inflation. Food inflation fell, but we expect a sustained fertiliser prices will exert upward pressure later in the year as the Strait of Hormuz continues to be closed.

The May flash release for CPI strengthened the case that the ECB will need to respond to renewed inflation pressures. Admittedly the monthly headline increase was modest, rising 0.2ppts to 3.2% y/y in May, but with headline inflation rising even further above target and core prices accelerating 0.3ppts to 2.5% y/y, we think the release confirms that the ECB will raise rates in June, and is supportive of our forecast for a 25bps hike.

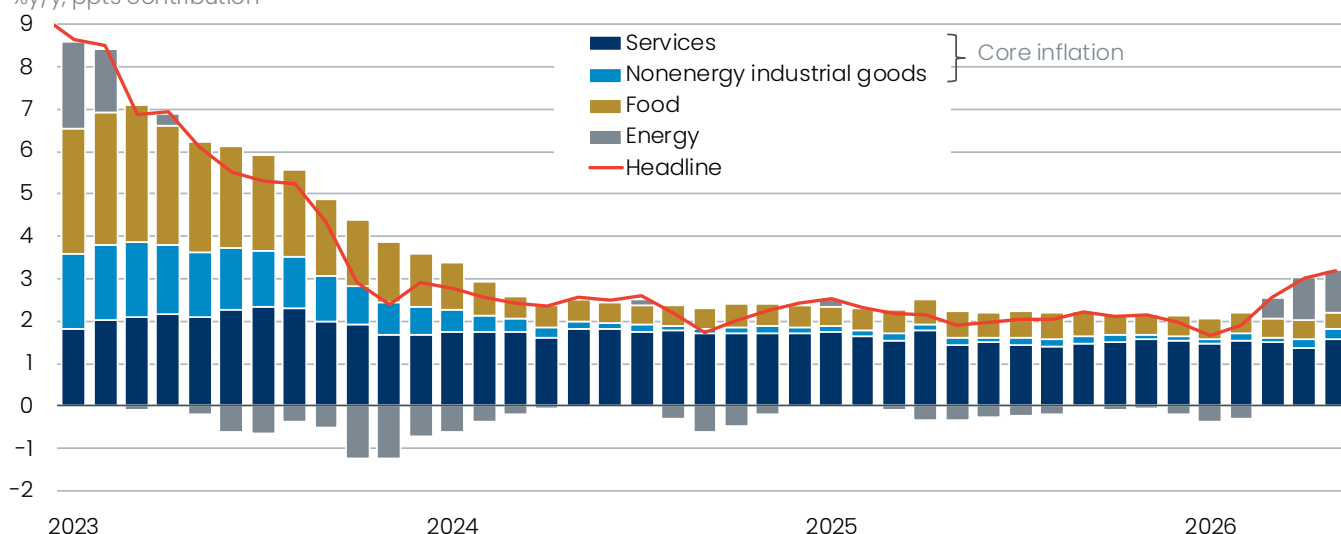
The increase in core prices was led by a jump in services inflation to 3.5% y/y, up 0.5ppts from April. While part of the increase can be put down to base effects, the last few PMIs have pointed to renewed upward pressure on services input prices, and output prices rising to their fastest pace in 38 months. This suggests that higher cost pressures are passing through to consumers and raises the risk that second-round effects are intensifying.

The headline was depressed slightly by a positive surprise, with food inflation easing to 2.0% y/y from 2.4% in April with decreases in both processed and unprocessed food. However, with the Strait of Hormuz continuing to be closed and restricting fertiliser supplies, we expect that prices will rise and put further upward pressure on inflation over the coming months.

Chart 1: Inflation continued to climb in May, putting pressure on the ECB to hike

Eurozone: Headline inflation breakdown

%y/y, ppts contribution



Sources: Oxford Economics, Haver Analytics